Micron Technology, Inc.

MU NASDAQ

Buy	$918.12 ▲ 2.46%	12M Price Target	52-Week Range	Market Cap
		$1050.00	$192.40 – $1255.00	$1.04T

MU: HBM Shortage + CHIPS Act Tailwind Keeps Fueling Rally

WHAT HAPPENED

- MU bounced 2.5% to $918 on light volume (13M shares vs usual 25M+) — this looks like a quiet grind higher as buyers step back in after last week's shakeout from $931 to $878. Low volume on an up day means sellers are exhausted, not that huge new money is piling in.
- The options tape is screaming — massive unusual call buying at $900, $905, and $910 strikes expiring this month (one trade alone was $29M notional at 21x normal open interest). Someone big is betting on a near-term move up, likely positioning ahead of catalysts.

WHY IT MATTERS

The real story here is that MU has become the US government's favorite memory chip play, and that's showing up in the price. With the stock at $918 and a $1 trillion market cap, the market is essentially saying Micron is no longer a cyclical boom-bust commodity DRAM story — it's an AI infrastructure company whose high-bandwidth memory (HBM, the special chips that feed Nvidia GPUs) is sold out through 2027. The low-volume rally plus aggressive near-the-money call buying tells me institutions are positioned long and small traders are chasing — that's usually bullish short-term but means any disappointment gets punished hard. Watch for the November DRAM pricing data from TrendForce — if contract prices tick up again, this breaks out; if they stall, we get a 10% pullback.

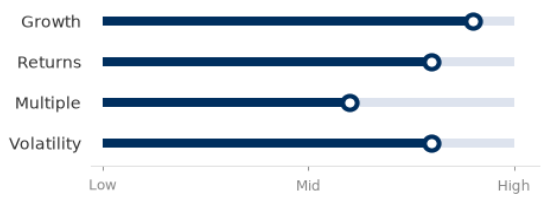
POLICY & POLITICAL WATCH

Three political tailwinds are stacked in MU's favor right now: (1) the CHIPS Act subsidies continue flowing — Micron has $6.1B in federal grants funding their Idaho and New York fabs, and the current administration has signaled they'll defend these commitments; (2) US export controls on advanced memory to China (expanded again in late 2025) directly hamstring Samsung and SK Hynix's China sales, pushing more HBM demand to Micron; (3) Congress is debating an AI infrastructure appropriations package that would add tax credits for domestic semiconductor consumption — if that passes, hyperscalers get an extra incentive to buy American-made memory. The one headwind to watch: any thaw in US-China tech negotiations could reverse the export control moat.

IS IT EXPENSIVE?

Key Data	
Price (USD)	**$918.12**
12M Price Target	**$1050.00**
Upside / (Downside)	**+14.4%**
Market Cap	**$1.04T**
FY2026E Revenue	**$48,500M**
FY2027E Revenue	**$58,000M**
FY2026E EPS	**$14.20**
FY2027E EPS	**$18.50**
Fwd P/E	**64.6x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$1000.00**	$950.00	**$850.00**
6 Months	**$1200.00**	$1050.00	**$780.00**
1 Year	**$1400.00**	$1150.00	**$700.00**
2 Years	**$1800.00**	$1400.00	**$650.00**
5 Years	**$2500.00**	$1800.00	**$600.00**
10 Years	**$4000.00**	$2500.00	**$500.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+1.86% today) is leading again as AI infrastructure spending keeps surprising to the upside — semis specifically are benefiting from both the demand side (hyperscaler capex) and the policy side (CHIPS Act, export controls favoring US names).

COOLING OFF: Materials (-0.08%) is the only red sector, suggesting the "reflation/commodity" trade is pausing — money isn't chasing cyclicals, it's chasing AI-levered growth.

ROTATION WATCH: Capital is rotating from defensive/cyclical into AI-adjacent tech again this week after a brief sell-off — Financials and Consumer Discretionary strength over 5 days suggests a healthy risk-on backdrop, not a defensive crouch, which supports MU continuing higher.

RELATED PLAY: If you believe the HBM thesis, the picks-and-shovels second derivative is semiconductor equipment names (LRCX, AMAT, KLAC) — Micron can't build HBM capacity without buying their tools, and they trade at lower multiples than MU.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the king — every HBM chip Micron sells essentially ends up on an Nvidia GPU, so NVDA's strength validates MU's demand picture.
- AVGO (Broadcom): Custom AI silicon for hyperscalers continues to win — same AI capex tailwind lifting MU.

MU CONTEXT: Micron is leading its memory peer group (outperforming Western Digital and keeping pace with SK Hynix in Korea) because it's the only pure-play US-listed memory name with HBM exposure. That scarcity premium is real and sticky — as long as institutions want AI exposure outside of Nvidia, MU is the default pick, which puts a floor under the stock on pullbacks.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: $850-880 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing cracks >15% or Samsung/SK Hynix flood market with capacity

Hedging: Pair with short on commodity DRAM-exposed peer or buy protective puts on dips

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